

Why Healthcare Organizations Can No Longer Ignore Denial Management



The global healthcare industry is grappling with increasing pressure to deliver quality patient care, manage rising costs, respond to changing payer requirements, navigate complex reimbursement processes, and address growing administrative and billing complexities. Among these challenges, effective Denial Management has emerged as an important priority for healthcare organizations, as claim denials can directly impact financial stability, cash flow predictability, operational efficiency, and compliance performance, while also causing frustration for patients. This can add financial and administrative stress to an already difficult healthcare experience for patients.

A healthcare claim may appear to be a routine transaction, but for patients, a denied claim can mean unexpected bills, confusion, and uncertainty over what their insurance will cover, at a time when their focus should be on their health and recovery. Healthcare organizations also face significant operational challenges — each denial can involve hours of investigation, corrections, follow-ups, and appeals. Denials can result from coding and documentation errors, eligibility issues, authorization requirements, and increasingly complex payer rules, with even a relatively simple issue potentially triggering a lengthy resolution process for providers and patients. Strong alignment across patient access, utilization review (UR), clinical documentation, medical coding, billing, and payer communications is essential - without this synergy, denials can accumulate over time, delaying payments, increasing administrative burden,

and creating revenue leakage. With healthcare organizations managing growing volumes of claims across multiple payers, addressing these challenges is becoming increasingly difficult.

According to Experian Health's 2025 State of Claims Survey, 41% of healthcare providers reported that at least 10% of their claims were denied, while 82% said reducing denials was a priority. The survey also found that inaccurate data, authorization issues, and incomplete patient registration were leading causes of denials.

The Denial Challenge

Denial Management has evolved from a reactive back-end function into a strategic capability. Healthcare organizations are starting to prioritize understanding why claims are denied in the first place and preventing avoidable denials from recurring. Healthcare organizations are turning to AI and advanced analytics to take a more proactive approach to denial management. Rather than waiting for claims to be denied, these technologies can help flag potential issues before submission by analyzing historical claims data and detecting patterns associated with denials. Beyond identifying denial risks, AI can support the review of payer requirements, documentation, coding, eligibility, and authorization processes, helping organizations strengthen claim accuracy and compliance.

Once these insights are available, AI-powered solutions can help revenue cycle teams operate more effectively. By processing large volumes of claims across multiple payers, AI can help prioritize claims requiring attention, streamline workflows, allocate resources more efficiently, and focus teams on issues that require intervention, enabling faster and more informed decision-making at scale.

Turning Denials into Insights

Denials can also provide valuable insights into broader revenue cycle performance. By analyzing recurring denial patterns across payers, service lines, and processes, healthcare organizations can identify underlying gaps and address them at the source rather than repeatedly correcting individual claims. This makes Denial Management not just a recovery function, but a continuous improvement mechanism for the wider revenue cycle.

A 2025 McKinsey survey of 215 U.S. healthcare revenue cycle management leaders found that improving denial management and appeals was the most prioritized revenue-cycle function, cited by 57% of respondents. The survey also found that organizations with standardized denial-prevention processes had higher appeal success rates than those with limited or ad hoc resources.

Beyond Revenue Recovery

Effective Denial Management is about more than recovering revenue after claims are denied. Reducing avoidable denials can help healthcare organizations improve cash flow, reduce operational inefficiencies, and make better use of revenue cycle resources. It can also reduce the need for repeated follow-ups, corrections, and appeals, allowing teams to spend more time on higher-value activities.

From the patients' perspective, fewer avoidable denials mean less uncertainty about coverage, fewer unexpected bills, and greater financial clarity throughout the healthcare journey. When healthcare organizations are able to identify and address problems earlier in the claims process, they can create a smoother experience for patients while reducing the denial-related administrative burden.

The Road Ahead

The future of Denial Management is not simply about recovering payments after a claim has been rejected. It is about leveraging data, technology, and insights from past claims to identify problems earlier, prevent avoidable denials, and make more informed decisions. As healthcare organizations continue to manage growing claims volumes, changing payer requirements, and increasing administrative pressure, Denial Management is becoming a strategic capability that can help strengthen financial performance, improve operational efficiency, and support a better experience for healthcare providers and patients.